

24SMCV04259 24SMCV04259

County: los-angeles

Division: Civil Law and Motion

Department: I

Hearing date: 2026-09-18

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SM%20%2CI%2C09%2F18%2F2026

Source SHA-256: 84d219895265b44cd9c2eefadea8ec6219ae6e47ae982432742a6fa584346b6d

Case Number: 24SMCV04259 Hearing Date: September 18, 2026 Dept: I

The court will inquire.

According to Arcstone, it made a loan to Kashfi—the judgment debtor’s mother—secured by property owned by her and the judgment debtor. According to Arcstone, almost all of the loan was used to pay off a prior mortgage on the property. In other words, there was a prior senior debt (the original lender), and that lender was repaid using the proceeds of the loan in question. According to Arcstone, there was little or no money from the Arcstone loan used for any other purpose. While Kashfi signed the loan documents, it appears that the judgment debtor co-signed the DOT. Plaintiff argues that it believes that Arcstone deliberately did not do any kind of credit check on the judgment debtor even though judgment debtor co-signed the DOT not because Kashfi was the borrower, but rather so that it would have plausible deniability of the judgment. Plaintiff served discovery to that end but contends that Arcstone has not been forthcoming in its responses or production of documents.

Here is the court’s question. It seems that Arcstone got reasonably equivalent value for the DOT. It got a DOT to secure \$1.1 million in return for paying out \$1.1 million to the original lender. If Arcstone gave reasonably equivalent value, is this subject to the UVTA at all? Civil Code section 3439.05 states that a transfer incurred by a debtor is voidable as to a creditor whose claim pre-dates the transfer if the debtor made the transfer or incurred the obligation “without receiving a reasonably equivalent value in exchange for the transfer or obligation” and the debtor was insolvent. How does this discovery go to whether or not there was reasonably equivalent value?

If there was reasonably equivalent value, does it matter whether or not Arcstone knew or should have known of the judgment? The court is aware that reasonably equivalent

value means reasonably equivalent value FROM THE DEBTOR. But if the same property secured the original debt, then this would seem to be met as well.

If the discovery would show that Arcstone did not get reasonably equivalent value in return for the DOT, that would seem to be relevant. If there is a path to defeat the motion even if Arcstone did get reasonably equivalent value and the discovery goes to that, then that question as well would seem to be relevant. If that can be articulated, the court would be inclined to GRANT the motion to allow plaintiff to obtain the discovery it seeks. But if not, then the court is not sure that it makes sense to deny the motion.